

Business Glossary

Revenue

Definition:

The total income generated from product sales after returns and discounts.

Gross Margin

Definition:

The percentage of revenue remaining after deducting the cost of goods sold (COGS).

Cost of Goods Sold (COGS)

Definition:

The direct costs associated with producing goods, including raw materials, packaging, and manufacturing costs.

Forecast Accuracy

Definition:

A measure of how closely forecasted sales match actual sales.

Business Goal:

Improve production planning and reduce waste.

OTIF (On Time In Full)

Definition:

The percentage of customer orders delivered on time and in full.

Business Goal:

Maintain high customer satisfaction through reliable deliveries.

Inventory Turnover

Definition:

The number of times inventory is sold and replenished during a given period.

Business Goal:

Maintain efficient inventory levels while avoiding stock shortages.

Lead Time

Definition:

The time taken from placing an order until the product is delivered.

Customer Churn

Definition:

The percentage of customers who stop purchasing products during a specific period.

Business Intelligence (BI)

Definition:

Processes and tools used to collect, analyze, and visualize business data to support decision-making.

Dashboard

Definition:

A visual interface displaying key business metrics and trends to support operational and strategic decisions.

Key Performance Indicator (KPI)

Definition:

A measurable value used to evaluate business performance against strategic objectives.

Data Governance

Definition:

The policies, standards, and processes that ensure business data is accurate, secure, consistent, and properly managed.

Master Data

Definition:

Core business information, such as products, customers, and suppliers, that is shared across multiple business systems.

ERP (Enterprise Resource Planning)

Definition:

An enterprise software system that integrates finance, procurement, manufacturing, inventory, and sales processes.

Analytics

Definition:

The process of transforming business data into insights that support operational and strategic decision-making.